BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

Prepared Testimony of:
Staff Gas Rates Panel

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Q. Please state your names, employer, and business addresses.

A. Our names are Brian Grode, Hieu Cam, and Jackson Harmon. We are employed by the New York State Department of Public Service, the Department or DPS. Our business addresses are Three Empire State Plaza, Albany, New York 12223-1350.

Q. Mr. Grode, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 1 in the Upstate Rates and Tariffs Section of the Office of Rates and Tariffs, or ORT.

Q. Please describe your educational background.

A. I received a Bachelor of Science in Chemical Engineering from Clarkson University in May 2015.

Q. Please describe your professional experience with the Department.

A. In June 2019, I joined Department Staff of the Upstate Rates and Tariffs Section. My current duties include the review and evaluation of utility capital and operations and maintenance budgets, engineering analyses of utility rates,

and pricing and tariff proposals.

Q. Have you previously testified before the Commission?

A. Yes, I provided testimony in 20-E-0380 and 20-G-0381 as a member of the Staff Electric and Gas Rates Panel regarding Niagara Mohawk Power Corporation d/b/a National Grid and in 22-E-0317, 22-G-0318, 22-E-0319, and 22-G-0320 as a member of the Staff Gas Rates Panel and the Staff Rates Panel regarding New York State Electric and Gas Corporation and Rochester Gas and Electric Corporation.

Q. Mr. Harmon, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 1 in the Upstate Rates and Tariffs Section of ORT.

Q. Please describe your educational background.

A. I received a Bachelor of Science in Mechanical Engineering from Rensselaer Polytechnic Institute in 2020.

Q. Please describe your professional experience with the Department.

A. In April 2022, I joined Department Staff of the

Upstate Rates and Tariffs Section. My current duties include the review and evaluation of various utility petitions including Section 70 petitions, tariff revisions, and rate cases.

Q. Have you previously testified before the Commission?

A. Yes, I have testified in Case 22-E-0317, et al as a member of the Staff Electric Rates Panel.

Q. Mr. Cam, what is your position with the Department?

A. I am a Utility Engineering Specialist 3 in the Upstate Rates and Tariffs Section of the Office of Rates and Tariffs.

Q. Mr. Cam, please state your educational background and professional experience.

A. I received a Bachelor of Science Degree in Civil Engineering from Clarkson University in 2007. After graduating from Clarkson University, I worked for The Whiting-Turner Contracting Company where my tasks included estimating, monitoring sub-contractors, drafting bid documents, and conducting field inspections. In 2008, I returned to Clarkson University where I obtained a Master of Science Degree in Civil

Engineering. I joined the Department in 2010 as a Junior Engineer in the Gas and Water Rates Section.

Q. Mr. Cam, what are your duties in the Upstate Rates and Tariffs Section?

A. My duties include reviewing utility proposals, conducting analyses and then drafting reports, memoranda, and testifying to my findings. I have reviewed revenue price-outs, operation and maintenance expenses, cost of service studies, revenue allocation and rate design proposals.

Q. Have you previously testified in proceedings before the Commission?

A. Yes. I have previously provided testimony in numerous rate cases. The most recent rate cases in which I provided testimonies include cases 20-G-0101 regarding Corning Natural Gas Corporation, 21-G-0577 regarding Liberty Utilities (St. Lawrence Gas), and 22-E-0317 regarding New York State Electric & Gas Corporation for Electric Service.

Q. How will the Panel refer to the Brooklyn Union Gas Company d/b/a National Grid and KeySpan Gas East Corporation d/b/a National Grid in your

testimony?

A. We will refer to the Brooklyn Union Gas Company d/b/a National Grid as KEDNY, and KeySpan Gas East Corporation as KEDLI. We will refer to KEDNY and KEDLI collectively as the Companies. We will refer to the parent Company as National Grid where appropriate.

Q. What is the scope of the Panel's testimony in these proceedings?

A. Our testimony will address the following areas of the Companies' pre-filed direct testimonies and any updates to these areas made in the Companies' Corrections and Updates filings on June 30, 2023: (1) revenue forecasts (2) the 2022 pro forma embedded cost of service, or ECOS studies and proposed revenue allocations, rate designs, and unbundled rates for competitive services; (3) Revenue Decoupling Mechanisms, or RDMs; (4) the Companies' calculation of the lost and unaccounted for, or LAUF, targets and dead-bands; and (5) the Companies' proposed modifications to their gas tariffs.

Q. In your testimony, will you refer to, or otherwise rely upon, any information produced

during the discovery phase of this proceeding?

A. Yes, we will refer to, and have relied upon, several responses to Information Requests, or IRs. These responses are contained in the Panel's Exhibit___(SGRP-1). We will refer to these IR responses by the designation given to them by the Department, e.g., DPS-123.

Q. Are you sponsoring any other exhibits?

A. Yes. We are sponsoring the following additional Exhibits: Exhibit___(SGRP-2) contains our price outs for the Rate Year. The Rate Year is defined as the time period beginning April 1, 2024 and ending March 31, 2025; Exhibit___(SGRP-3) contains our proposed revenue allocations for the Rate Year; Exhibit___(SGRP-4) contains a summary of our proposed revenue increases and rate designs for the Rate Year for firm and interruptible classes; Exhibit___(SGRP-5) contains detailed bill impacts for the Rate Year; Exhibit___(SGRP-6) contains a copy of the Staff Whitepaper on Lost and Unaccounted For Gas; and Exhibit___(SGRP-7) contains illustrative examples of the implementation of the RNG Interconnection Surcharge.

Summary of Recommendations

Q. Please summarize the Panel's recommendations.

A. We recommend adjusting the revenue forecasts to reflect the customer and usage forecasts provided by the DPS Staff Forecasting and Inflation Panel. We also recommend adjusting the revenue forecasts to exclude revenues associated with Net Utility Plant Surcharge and the Demand Capacity Surcharge Mechanism and include the revenues associated with the Revenue Adjustment Clause from the previous rate filing. Regarding revenue allocation, we recommend the use of the ECOS studies as presented by the Companies in their Corrections and Updates filing. Concerning rate design, we do not recommend changes to phase out declining block rate structures due to the magnitude of the rate increases. We recommend updating the RDM targets to reflect the incremental rate increases. Finally, we recommend the LAUF targets and dead-bands be approved as filed by the Companies. The Panel's recommendations result in total operating revenues of $2.123 billion for KEDNY and $1.407 billion for KEDLI.

These recommendations are discussed in more detail later on in our testimony.

Revenue Forecast

Q. What revenue forecasts did the Panel review?

A. The Panel reviewed base delivery revenues and other revenues including but not limited to late payment charges, billing service fees, and the Merchant Function Charge, or MFC.

Q. Summarize the Panel's adjustments to the Companies delivery revenues.

A. Our adjustments to the Companies' delivery revenues reflect the price out of Staff's Forecasting and Inflation Panel's recommended sales forecasts, removal of the Net Utility Plant Tracker, or NUP and Demand Capacity Surcharge Mechanism, or DCSM, and an upward adjustment to include the Revenue Adjustment Clause, or RAC, revenues.

Q. What forecasted usage and customer count was provided to this Panel by the Staff Forecasting and Inflation Panel?

A. The Panel was provided a usage and customer count forecast for all firm and non-firm service classes, or SCs, excluding the following SCs

sales and transportation sub classes: SC 4A - High Load Factor, or SC4A, SC 4A-CNG - Compressed Natural Gas, or SC4A-CNG, SC 4B – Year Round AC, or SC4B, SC 7 – Seasonal, or SC7, SC 21 – Distributed Generation Sales, or SC21, SC 18 Small Electric Generator Transport, or SC18, and SC 20 Large Electric Generator Transport, or SC20, for KEDNY and SC 17 – Distributed Generation Sales, or SC17, SC 7 Small Electric Generator Transportation, or SC7, and SC 14 Large Electric Generator Transportation, or SC14, for KEDLI. As detailed in the DPS Staff Forecasting and Inflation Panel, Staff does not contest the Companies' forecasted customer count or usage for these classes.

Q. Please summarize the sales forecast as recommended by the DPS Staff Forecasting and Inflation Panel, as it relates to this Panel's delivery revenue price out.

A. The total forecasted therms for the rate year for KEDNY is 2,086,490,136 therms, of which 1,627,996,786 therms was provided by the DPS Staff Forecasting and Inflation Panel forecast

and the remaining 458,493,350 therms come from the Company's forecasted usage of the SCs which the Staff Forecasting and Inflation Panel did not contest. The total forecasted therms for the rate year for KEDLI is 1,956,483,004 therms, which is comprised of the 1,094,703,808, therms forecasted by the Staff Forecasting and Inflation Panel and the remaining 861,779,196 therms related to forecasted usage for the SCs which the Staff Forecasting and Inflation Panel did not contest.

Q. Summarize the customer forecast as recommended by the Staff Forecasting and Inflation Panel.

A. The total forecasted customers for the rate year for KEDNY is 1,307,063 which is comprised of the 1,306,885 customers forecast by the DPS Staff Forecasting and Inflation Panel and the remaining 178 customers forecast by the Companies associated with the uncontested portions of the KEDNY's forecast. The total forecasted customers for the rate year for KEDLI is 634,722 which is comprised of 634,698 forecasted by the Staff Forecasting and Inflation Panel and the remaining 24 customers

associated with the uncontested portions of KEDLI's forecast. For KEDNY this results in an increase of 23,850 customers and 34,866,251 therms compared to the Company's forecast. For KEDLI this results in a 591 customer increase and a lower forecast of 9,030,498 therms as compared to the Company.

Q. Describe how the Companies developed their forecast of base gas delivery revenues at current rates in the Rate Year.

A. For all SCs, the Companies developed the base delivery revenue forecasts based on their forecasted customer counts and usage. For SCs that have multiple block rates, the Companies allocated forecasted deliveries to the usage blocks using historical block percentages. Next, the Companies multiplied the forecasted customer counts and deliveries by the respective delivery rates and customer charges.

Q. Explain how the Companies allocated deliveries to the usage blocks for each SC to price out the revenues.

A. For SCs that have multiple usage blocks the Companies allocated deliveries into usage blocks

based on historic block percentages. For SCs that do not have multiple volumetric blocks the maximum usage was attributed to the first block, and the remaining total usage was allocated to the second block.

Q. Please explain how the Companies used historic block percentages to allocate deliveries into usage blocks for SCs with multiple block rates.

A. First, the Companies calculated the average historical usage by block for each SC or subclass based on calendar years 2019, 2021, and 2022. Those percentages were then multiplied by the monthly forecast for that SC or subclass.

Q. Please explain why the Companies did not use calendar year 2020 to calculate historical block usage percentages.

A. The Companies did not use calendar year 2020 to normalize for the impacts of the COVID-19 pandemic.

Q. How did the Panel price-out the Rate Year sales and customer forecasts?

A. We used the same methodology as the Companies.

Q. How do the results of the Panel's gas price-out of Rate Year sales and customer forecasts at

current delivery rates compare to the Companies' price-out?

A. KEDNY's price-out of Rate Year sales and customer forecasts at current delivery rates was provided in KEDNY Exhibit___(RDP-2CU) Revenue Forecast Exhibit at the amount of $1.315 billion. Our gas price-out output of Rate Year sales and customer forecasts at current rates is $1.334 billion, or approximately $19.608 million higher than the price-out provided by KEDNY. The price-out of Rate Year sales and customer forecasts at current delivery rates provided by KEDLI, in KEDLI Exhibit___(RDP-2CU) Revenue Forecast Exhibit, is $835.6 million. Our gas price-out of Rate Year sales and customer forecasts at current delivery rates for KEDLI is $827.412 million, or approximately $8.180 million lower than the Company. Our price-outs of Rate Year sales and customer forecasts are shown in Exhibit___(SGRP-2).

Q. Does the Panel include the NUP revenue for KEDNY and both the NUP and DCSM revenues for KEDLI as revenues at current rates?

A. No, the Panel does not include these revenues

because these revenues are surcharges that are being rolled into base rates.

Q. Can you explain what the RAC is?

A. In the Order Approving Joint Proposal, As Modified, and Imposing Additional Requirements issued on August 12, 2021 in Cases 19-G-0309, 19-G-0310, and 18-M-0270, or 2021 Rate Order, beginning on page 99, the Commission found it necessary to require some of the Companies' revenue requirement to be collected through the RAC mechanism due to the timing of the bribery and conspiracy charges levied against five former managers previously employed by National Grid. Specifically, the Commission directed KEDNY and KEDLI to remove $2.5 million from base delivery rates, and instead collect this revenue from the RAC until the Commission determines that the Companies have fully satisfied their burden of proof or until a disallowance determination is made and a refund implementing this determination has been effectuated.

Q. Explain why the RAC should be included in the revenue forecast?

A. The RAC is a component of delivery revenue that

is used to offset revenue requirement. The RAC continues to remain in effect through the rate year and beyond until otherwise directed by the Commission. Excluding the RAC revenue from the revenue forecast would overstate the incremental revenue requirement needed.

Q. Do the Companies agree that the RAC revenue should be included in the delivery revenue forecast at current rates?

A. Yes. In their responses to DPS-778 and DPS-779, the Companies agree that the revenues associated with the RAC should have been included in the respective Companies' revenue forecast at current rates.

Q. How did the Companies forecast the Other Revenues listed in the Companies' respective Exhibit___(RDP-2CU)?

A. The Companies held the revenues associated with Edgar Discount, Joint Facilities, AMR Opt Out, and Governor Island Joint Agreement at Historic Test Year, or HTY, values. Miscellaneous Third-Party Revenues, S&A Burdens, and certain Miscellaneous Customer Fees were calculated by adjusting the HTY values by an inflation factor.

The remaining Other Revenues were calculated based on individual formulas appropriate to the revenue. All calculations were provided in workpapers as part of both Companies' respective Exhibit___(RDP-15CU) filings.

Q. Did the Panel make any adjustments to the Other Revenues.

A. Yes, the Panel updated the revenues associated with both Companies' Billing Service Fees and Late Payment Charges to account for Staff's sales and customer forecasts. As a result, we increased the Billing Service Fees revenue forecast by $374,921 and decreased the Late Payment Charges revenue forecast by $288,929 for KEDNY and increased the Billing Service Fees revenue forecast by $9,706 and decreased the Late Payment Charges revenue forecast by $284.199 for KEDLI.

Q. Please explain how the Panel reviewed the Other Revenues?

A. For revenues that were collected prior to the rate filing the Panel took the average of the calendar year 2018, 2019, 2021, and 2022 revenues, as provided in the Companies' response

to DPS-340 and DPS-341 and compared them to the forecasted revenues. This did not apply to Newtown Creek as the project had not been operational prior to 2023.

Q. What is the Newtown Creek Project?

A. The Newtown Creek Project is a renewable natural gas facility located at the Newtown Creek Wastewater Treatment Plant in New York City within the KEDNY service territory. Revenues from the project come in two parts, the revenues associated with the sale of the gas and the revenues associated with the sale of environmental attributes, less the cost of the vendor selling the credits on KEDNY's behalf.

Q. How did the Panel review the Newtown Creek Project revenues?

A. We reviewed the Companies' response to DPS-849 to verify the forecasted therms of gas to be sold as well as the methodology to which KEDNY forecasted the commodity costs per therm associated with that forecast.

Q. Does the Panel support the forecasted Other Revenues?

A. Yes, we have reviewed the revenues and find them

reasonable compared to the three-year average calculated and referenced in the previous question.

Q. Does the Panel recommended any adjustments to the Other Revenues forecast?

A. Since the Companies applied an inflation factor to its forecasts of certain Other Revenues listed previously, we recommend those revenues be updated if there is material change to the inflation rates prior to new rates taking effect.

Q. What Other Revenues would need to be updated?

A. Certain Other Revenues that would need to have the inflation factor updated are Miscellaneous Third-Party Revenues, S&A Burdens, and certain Miscellaneous Customer Fees.

Q. Did the Panel make any additional updates to revenues?

A. Yes, while we support the MFC targets as stated by the Companies and described in the MFC section of our testimony, we adjusted MFC revenues to reflect Staff’s sales forecast. This increased the proposed MFC revenues from $21,651,992 to $21,791,225 for KEDNY and

decreased the proposed MFC revenues from $12,167,194 to $12,064,950 for KEDLI.

Embedded Cost of Service Study (ECOS)

Q. Please describe the purpose of an ECOS study.

A. The purpose of an ECOS study is to assign the costs of providing utility service to the different service classes based on the costs incurred to provide service to customers within those classes. The results of an ECOS study are used as a guide in allocating revenue responsibility between the different classes of customers.

Q. What information does an ECOS study provide?

A. The ECOS study provides a total system rate of return, the rate of return for each SC, and the relative rate of return for each SC. The rate of return for an individual SC is an effective way to measure how well the SC revenues align to the costs to provide service to that particular SC. A SC's relative rate of return is the SC's rate of return divided by the system rate of return.

Q. Please explain how to perform an ECOS Study.

A. To perform an ECOS Study there are three major

steps.

Q. Please explain the three major steps of performing and ECOS study.

A. The three major steps of an ECOS study are: functionalization, classification, and allocation. Functionalization is the process of assigning the Companies' rate base and expense items to specific utility operating functions. For gas utilities, the functions are: Supply Procurement/MFC; Transmission & Distribution, or Delivery; and, Bill Issuance and Payment Processing, or BIPP. Classification is used to further define the functionalized rate base and expense items into demand, energy, and customer components. The final step – allocation - allocates the components to SCs reflective of the cost each SC imposes on the utility.

Q. Did the Companies submit gas ECOS studies in these rate proceedings?

A. Yes. The Companies submitted a "pro forma" gas ECOS study for each Company, which we will refer to as the 2023 ECOS studies. The study inputs, for example: revenues, system loads, expenses, and rate base, are forecasted for the upcoming

Rate Year.

Q. Please describe the methodology the Companies used to allocate gas distribution mains in the 2023 ECOS Studies.

A. The Companies performed minimum system studies to allocate the costs associated with gas distribution mains, or Account 376, between customer and demand.

Q. Please describe the minimum system study.

A. The analysis begins by obtaining the cost of mains the utility has installed in recent years by material, length, and diameter. This allows the Company to calculate the installed cost per foot for each material and diameter type. The minimum system ratio is computed as the ratio of the cost of replacing the entire mains distribution system with the minimum component, which is two-inch plastic, to the cost of replacing the entire mains distribution system with plastic of the same diameter as installed.

Q. What were the results of the Companies' minimum system studies for distribution mains?

A. The minimum system studies resulted in a minimum system ratio of approximately 47.88 for KEDNY

and 54.51 for KEDLI. The costs associated with the minimum system are considered to be customer related, while the remained of costs in the mains accounts are considered to be demand related. For the ECOS study the Companies averaged this result with the results of the prior two studies resulting in a customer component of 44.29 percent and demand component of 55.71 percent for KEDNY, and a customer component of 47.44 percent and demand component of 52.56 percent for KEDLI.

Q. Please list the Service Classes considered for the ECOS study for KEDNY.

A. The following Service Classes, or SCs, for KEDNY had costs allocated to them: SC 1A - Residential Non-Heating, or SC1A, SC 1B - Residential Heating, or SC1B, SC 1B-DG - Residential Distributed Generation, or SC1BDG, SC 2-1 – Non-Residential Non-Heating, or SC2-1, SC 2-2 - Non Residential Heating, or SC2-2, SC 3 - Multiple Family, or SC3, SC4A, SC4A-CNG, SC4B, SC7, SC21, and SC 22 – Non-Firm Demand Response, or NFDR.

Q. Please list the Service Classes considered for

the ECOS study for KEDLI.

A. The following SCs, for KEDLI had costs allocated to them: SC 1A - Residential Non-Heating, or SC1A, SC 1B - Residential Heating, or SC1B, SC 1DG - Distributed Generation, or SC1DG, SC 2A – Non-Residential Non-Heating, or SC2A, SC 2B - Non Residential Heating, or SC2B, SC 3 - Multiple Family, or SC3, SC 9 – Wholesale NGV, or SC9, SC 15 – High Load Factor, or SC15, SC 16 – Year Round Space Conditioning, or SC16, SC17, and SC 18 – Non-Firm Demand Response, or NFDR.

Q. Does the Panel support using the Companies' minimum system studies to allocate the costs of mains?

A. Yes. The Panel supports using a minimum system study to determine the customer and demand components of mains because we recognize that the costs associated with distribution mains vary with the number of customers served by it as well as by the gas demand those customers impose on the system.

Q. Does the Panel have any general concerns with the Companies' ECOS.

A. The filed proforma studies use the Companies'

forecasted rate year costs and therefore the results may not accurately reflect Staff's proposed rate year revenue requirements, or the revenue requirements adopted by the Commission in these proceedings. As such, we are concerned the results may not be accurate, especially if revenue requirements adopted by the Commission are materially different than the Companies' revenue requirements.

Q. Given your concerns with the Company's ECOS, can the results still be used for ratemaking purposes?

A. Yes. While the results from a proforma study performed with Staff's adjustments would produce different results, it is unlikely the results would be materially different.

Q. How did the Panel conclude that the results would not materially change?

A. The Panel reviewed the results of the ECOS filed in the last rate case and found that the results did not materially change. Given the results of the ECOS study did not shift significantly from the last rate case, we do not expect a significant change in results that would

necessitate rejecting the ECOS studies provided by the Companies.

Q. What did the Panel do to determine the results of the ECOS study would not shift materially?

A. We applied the relative rate of return per SC from the last case to the Companies' respective tolerance bands from this case. We found that the majority of SCs did not shift in contribution level between rate cases, therefore it would be reasonable to assume that the differences between a Staff performed proforma ECOS and the Company performed ECOS for each Company would not materially affect the contribution toward total revenues of any SC.

Q. Does the Panel have any recommendations with respect to the Companies' gas ECOS studies in future rate filings?

A. Yes. We recommend that the Commission require the Companies to provide historic ECOS studies in its next rate filings or proceedings for comparison purposes. The historic studies rely on known values for rate base, operating expenses, and revenues which will help to eliminate some of the uncertainty surrounding

the accuracy of the forecast rate base, operating expenses and revenues. In addition, future ECOS studies should include a reassessment of the minimum system ratios from the minimum system studies using updated data.

Revenue Allocation

Q. Please describe, generally, how the Companies allocate the revenue requirement increases to each of the service classes.

A. First, the rate of return of each service class is compared to the system average rate of return. Any service class with a rate of return inside a tolerance band of plus or minus 40 percent, relative to system average rate of return, are given a near average increase. Any service classes with rates of return below the tolerance band are given a higher-than-average increase. SCs with rates of return above the dead band were divided into three groups, with smaller increases allocated to groups farther from the tolerance band.

Q. What is a "tolerance band," and why is it used?

A. A tolerance band is used to account for the imprecise nature of an ECOS study. The

Companies proposed to use a plus or minus 40 percent tolerance band around the overall system rate of return. Classes are considered deficient or in surplus if the class specific rate of return falls outside the band. The Companies consider SCs as being deficient if their computed return falls below 1.65 percent for KEDNY and 1.77 percent for KEDLI, or in surplus if their computed return exceeds 3.85 percent for KEDNY and 4.12 percent for KEDLI. The Companies also use the unitized rate of return in some instances, which is the rate of return for any given class divided by the system average rate of return. On a unitized basis, SCs with a unitized rate of return between 0.60 and 1.40 are considered within the tolerance band.

Q. Does the Panel support the use of a 40 percent tolerance band?

A. Yes. We generally agree with the ECOS study results and allocation percentages. We also find the tolerance bands to be acceptable.

Q. Why does the Panel support a 40 percent tolerance band for each Company?

A. Due to uncertain nature of the pro-forma ECOS study from using a forecast of costs and revenue and the magnitude of the revenue increases in these proceedings, the Panel supports the tolerance bands as proposed by the Companies.

Q. What are the results of applying the tolerance band around each system return for KEDNY?

A. For KEDNY, SC1B was within the tolerance band; SC1A, SC1BDG, SC3, SC7 and SC21, are considered deficient and under contributing; and SC2-2, SC4A, SC2-1, SC4A-CNG, SC4B and NFDR, are considered in surplus and are over contributing. As discussed previously, the over contributing classes were classified into three groups based on their contribution level that the Companies call Over, consisting of SC2-2 and SC4A; High, consisting of SC2-1, SC4A-CNG and SC4B; and Very High, consisting of NFDR.

Q. How did KEDNY separate the over contributing group?

A. KEDNY separated the over contributors based on the unitized rate of return. If a SC had a unitized rate of return between 1.40 and 2.01 it was considered Over, a SC with a unitized rate

of return between 2.01 and 6.00 was considered High, and a SC with a unitized rate of return greater than 6.00 was considered Very High.

Q. What are the results of applying the tolerance band around each system return for KEDLI?

A. For KEDLI Service Class SC1B, is within the tolerance band; SC1A, SC1DG, SC 3B – Multiple Dwelling Heat, or SC3B, SC17 are considered deficient and under contributing; and SC2B, SC15, SC 3A – Multiple Dwelling Non Heat, or SC3A, SC16, SC2A, SC9 and NFDR, are considered in surplus and over contributing. The over contributing classes were further divided into Over, consisting of SC2B and SC15; High, consisting of SC3A and SC16; and Very High, consisting of SC2A, SC9, and NFDR.

Q. How did KEDLI separate the over contributing group?

A. KEDLI separated the over contributors based on the unitized rate of return. If a SC had a unitized rate of return between 1.40 and 2.01 it was considered Over, a SC with a unitized rate of return between 2.01 and 4.00 was considered High, and a SC with a unitized rate of return

greater than 4.00 was considered Very High.

Q. What were the Companies proposed system average increases?

A. In the Companies' Corrections and Updates filing, that system-average increase was 33.84 percent for KEDNY and 32.27 percent for KEDLI using the Companies proposed revenue requirement. The Companies applied increases of 31.46 percent for KEDNY and 31.83 percent for KEDLI to the SCs within the tolerance band.

Q. How did KEDNY allocate increases outside the tolerance bands?

A. For SCs below the tolerance band, KEDNY applied a 37 percent increase, for the SCs above the tolerance band KEDNY applied a 30 percent, 28.50 percent, or 25.00 percent increase based on a SC being Over, High, or Very High as described previously.

Q. How did KEDLI allocate increases outside the tolerance band?

A. For SCs below the tolerance band, KEDLI applied a 37.309 percent increase, for the SCs above the tolerance band, KEDLI applied a 27.809, 25.309, or 22.809 percent increase based on a SC being

Over, High, or Very High as described previously.

Q. Did the Panel use the same revenue allocation methodology as the Company?

A. No. While we generally agree with methodology, we recommend minor changes to simplify the revenue allocation process.

Q. Please describe the changes made by the Panel.

A. First, for all firm SCs we divided the over contributors and under contributors into three categories each, Greatly Over Contributing, Moderately Over Contributing, and Slightly Over Contributing, as well as, Greatly Under Contributing, Moderately Under Contributing, and Slightly Under Contributing respectively. The NFDR SC for each Company was given their own separate group from the firm SCs.

Q. How did the Panel divide the SCs above the tolerance band?

A. A SC was considered Greatly Over Contributing if the rate of return for that class exceeded 154 percent of the total system rate of return, a SC was considered Moderately Over Contributing if the rate of return for the SC was between 154

percent of the total system rate of return and 147 percent of the system rate of return, and a SC was considered Slightly Over Contributing if the rate of return for the SC was between 147 percent of the total system rate of return and 140 percent of the total system rate of return.

Q. How did the Panel divide the SCs below the tolerance band?

A. A SC was considered Greatly Under Contributing if the rate of return for that class was under 54 percent of the total system rate of return, a SC was considered Moderately Under Contributing if the rate of return for the SC was between 54 percent of the total system rate of return and 57 percent of the total system rate of return, and a SC was considered Slightly Under Contributing if the rate of return for the SC was between 57 percent of the total system rate of return and 60 percent of the total system rate of return.

Q. How did the Panel asses which SCs were within the tolerance band?

A. A SC was considered within the tolerance band if the rate of return was between 60 percent and

140 percent of the system average rate of return.

Q. What are the allocation percentages associated with the categories listed in the previous response?

A. The allocation percentages changed as follows: Greatly Over Contributing SCs received 80 percent of the system average increase, Over Contributing SCs received 84 percent of the system average increase, and Less Over Contributing SCs received 88 percent of the system average increase. Greatly Under Contributing SCs received 120 percent of the system average increase, Under Contributing SCs received 114 percent of the system average increase, and Lesser Under Contributing SCs received 108 percent of the system average increase.

Q. What are the results of this change to revenue allocation?

A. The changes to revenue allocation slightly change the percent increase each SC receives compared to the results from the Company methodology, however the results are generally

similar. In KEDNY SC1A, SC1BDG, SC3, SC7, and SC21 were considered Greatly Under Contributing, SC2-1, SC2-2, SC4A, SC4CNG, and SC4B were considered Greatly Over Contributing, and SC1B was considered within the Tolerance Band. In KEDLI SC1A, SC1BDG, and SC3B are considered Greatly Under Contributing, SC2B is considered Over Contributing, SC2A, SC3A, SC9, SC15, SC16, and SC17 are considered Greatly Over Contributing, and SC1B is considered Within the Tolerance Band. NFDR SCs would have been in the Greatly Over Contributing group of their respective Company if they were not allocated separately.

Q. Why did the Panel separately allocate the NFDR SCs?

A. The Panel separately allocates revenues to the NFDR SCs to maintain the proposed increased discounts for those classes as described in the rate design section of our testimony.

Q. Did the Panel make additional changes to the revenue allocation proposed by the Companies?

A. Yes. As discussed previously, the NUP revenues for KEDNY and NUP and DCSM revenues for KEDLI

will be rolled into base delivery rates. We added an additional step in the revenue allocation process to ensure these revenues are allocated based on how the costs are currently being recovered.

Q. Did rolling the NUP and DCSM into base delivery rates impact revenue allocation?

A. At a high level, this change was revenue neutral as the revenues at current rates decreased by the same amount that the revenue requirement increased. On a SC basis, a small portion of revenues were allocated differently, as there is a small difference between the Companies' delivery revenues at current rates plus the NUP, and in KEDLI's case the NUP and DCSM, multiplied by the appropriate allocation percentage and the Panel's delivery revenues at current rates multiplied by the appropriate allocation percentage plus the NUP and in KEDLI's case the NUP and DCSM revenues.

Q. Did the Panel make any additional changes to revenue requirement methodology compared to the Companies'?

A. Yes. The Panel designed delivery rates to

collect the incremental revenue requirement less the incremental increase in late payment charges that would result from the rate increase.

Q. How was the incremental increase in late payment charges calculated.

A. The increase was calculated by multiplying the HTY ratio of late payment charge actual revenues to total billed sales revenues of each Company found in their respective workpaper 4 Exhibit___(RDP-15CU) by Staff's revenue requirement.

Q. Why was this change performed?

A. This change was made as to not over collect revenues from customers for each Company. Had this step not been performed, the Companies would collect revenues in excess of the revenue requirement.

Q. Did the Panel make any additional changes to revenue requirement methodology compared to the Companies?

A. Yes, the Panel made one final change. Due to the allocation percentages used, the resulting incremental revenue is greater than the incremental revenue requirement in KEDNY and

less than the incremental revenue requirement in KEDLI. We added an additional step to reallocate any surplus or deficiency proportionally to all service classes based on their percentage of total revenues at current rates. Summaries of the Panel's revenue allocation for both Companies are shown in Exhibit___(SGRP-3).

Q. What are Staff's proposed system average increases?

A. Using the revenue requirement in DPS Staff's Revenue Requirement Panel, that system-average increase is 23.85 percent for KEDNY and 20.66 percent for KEDLI.

Rate Design

Q. Explain how the Companies' designed their proposed rates.

A. The Companies design rates in two steps. First, the Companies design rates to recover the total firm and interruptible revenue requirement. Second, the Companies increase volumetric rates for all classes proportionally to recover the incremental budgets for the low income discounts. When designing the volumetric rates

for SCs with multiple rate blocks, the Companies' goal was to flatten the rate block for certain SCs where applicable by reducing the dollar per therm differential between the rate blocks.

Q. Explain the Companies' minimum charge and block rate proposals for firm SCs.

A. Both Companies proposed minimum charge increases if the current charge is below the rates supported by the marginal cost of service, or MCOS, study for the respective Company which are shown in each Companies' respective Exhibit___(RDP-9CU). Both Companies recommend customer charge increases for all firm SCs. To support energy conservation and send price signals to customers the Companies increased the tail block by a greater percentage than the mid-block for certain Service Classes where feasible.

Q. Which SCs did the Company move away from a declining block rate?

A. For KEDNY, the following SCs were moved away from a declining block rate: SC1B, SC2-1, SC2-2, SC3, and SC4B. For KEDLI, the following SCs

were moved away from a declining block rate: SC1A, SC1B, SC2A, SC2B, SC3, and SC16. The remaining SCs were either already flat, had one volumetric block, or did not have bill impacts that supported rate block flattening in the Company's view.

Q. Please explain what block flattening means.

A. Generally, each SC with multiple volumetric rate blocks is designed on a declining block structure. Meaning that the blocks for higher usage are cheaper on a per therm basis than the blocks for lower usage. Broadly, in a four block SC, the per therm rate would continue to decrease from block 2, to block 3 to block 4. Generally, reducing the ratio of tail block to mid blocks means increasing block 4 at a faster rate than block 3. In the extreme, bringing the ratio to 1 for all blocks in a service class would set the rate for all volumetric usage to the same rate per therm. While the process is revenue neutral to the service class as a whole, block flattening has a greater rate impact for customers of higher usage.

Q. Does the Panel support the concept of block

flattening generally?

A. Yes. Block flattening is consistent with the goals of the Climate Leadership and Community Protection Act, or CLCPA, by sending appropriate price signals to customers to encourage energy efficiency and beneficial electrification by increasing the price per therm associated with higher usage.

Q. Does the Panel support block flattening in these proceedings?

A. No. While we generally support the concept of Block flattening and its furtherance of CLCPA goals, rate design decisions cannot be made in a vacuum. Given the magnitude of the Companies' proposed rate increases in these cases, any movement toward flat rates would shift revenue requirement to high use customers and further exacerbate the bill impacts to those higher use customers.

Q. Would the Panel consider block flattening in the event a multi-year rate plan is established in these proceedings.

A. Perhaps. The rate impacts within the SCs with multiple rate block would need to be evaluated

for each year of the plan. The Panel would reevaluate this position in the event of a multi-year negotiated agreement, and the Commission may consider potential block flattening if a multi-year plan was adopted. Additionally, we recommend that Commission require the Companies to present a block flattening analysis and proposal similar to the proposal made in these filings in their next rate case filings.

Q. Why does the Panel recommend the Companies be required to file a block flattening analysis and proposal in their next rate filing?

A. We recommend the Commission require the Companies to file a block flattening analysis and proposal in their next rate filing in furtherance of the State's CLCPA goals. As stated previously, sending price signals to customers to further energy conservation and electrification is aligned with the CLCPA, however, flattening should occur at such a time when the impact to customer bills is less severe than in these rate proceedings.

Q. What does the Panel recommend for firm gas rate

design?

A. For both Companies, the Panel supports the minimum charges proposed for each SC as they were supported by the MCOS study. We recommend increasing all volumetric block rates proportionally to minimize disproportionately impacting customers within a SC.

Q. Please explain how the Panel determined that no block flattening should occur.

A. For each SC, the Panel reviewed the customer bill frequency data provided by the Companies in their respective Exhibit___(RDP-4CU) files and in the Companies' response to DPS-537 and DPS-538. From that data, the Panel calculated the cumulative percent of customers at each usage level. Using the bill frequency data, we calculated the percent of customers who would receive a monthly bill increase above the system average for each Company. The Panel sought to establish rates that balanced bill impacts and the State's climate goals. Ultimately, the Panel does not support rate block flattening in these proceedings.

Q. How did the Companies design the current rates

for the NFDR SCs?

A. Current rates for the NFDR SCs are comprised of a minimum charge of $375.00 for both Companies, with the remaining required revenue being collected from the volumetric block rates. The volumetric block rates are discounted from the otherwise applicable firm volumetric rates, which for both Companies are their respective SC2 and SC3 SCs. Currently, those blocks rates are calculated using a 50 percent discount for NFDR Tier 1 customers interruptible at 15 degrees, and 60 percent for NFDR Tier 2 customers interruptible at 20 degrees.

Q. Is the Company proposing to make changes to the NFDR SC rate design?

A. Yes. To provide greater incentives for the customers currently on NFDR rates to remain interruptible customers, the Companies propose to increase the discounts from 50 percent to approximately 55 percent for Tier 1 and from 60 percent to approximately 65 percent for Tier 2. To calculate the new rates for NFDR customers for KEDNY, the Company applied the incremental revenue requirement to the volumetric blocks

equally, then verified the volumetric rates are approximately 55 percent of the otherwise applicable firm SC tail block and 65 percent of the otherwise applicable firm SC tail block for Tier 1 and Tier 2 respectively. For KEDLI, the Company calculated the rates by multiplying the proposed otherwise applicable firm service block rate for each tier of NFDR by 0.45 and 0.35 respectively to get the appropriate rate at the proposed 55 percent and 65 percent discount level respectively. The Company then verified that the resulting revenues at proposed rates matched the proposed delivery increase from the revenue allocation step.

Q. How does the Panel proposed to design rates for the NFDR classes?

A. The Panel supports the Companies' plan to increase incentives for the NFDR customers to keep them from converting to firm service. As discussed previously, to calculate rates that result in approximately the 55 percent and 65 percent discounts the Panel assigned the Companies' respective NFDR SCs a revenue increase independent of what the revenue

increase would be as a result of the Companies' respective ECOS studies.

Q. Did the Panel provide gas rate design and bill impacts?

A. Yes, our rate design proposals for KEDNY and KEDLI are shown in Exhibit__(SGRP-4). The associated bill impacts for KEDNY and KEDLI are shown in Exhibit__(SGRP-5).

Transportation Rates For Electric Generators

Q. Describe the Companies' tariffs related gas service for electric generators.

A. KEDLI provides interruptible gas service to large generators having generation capacity of 50MW or greater under SC14 and small generators having generation capacity under 50MW under SC7. Similarly, KEDNY provides interruptible gas service to large generators having generation capacity of 50MW or greater under SC20 and small generators having generation capacity under 50MW under SC18.

Q. Please continue.

A. For both KEDNY and KEDLI, the tariff provides for two separate rate schedules – Rate Schedule 1 and Rate Schedule 2.

Q. Describe the tariff for Rate Schedule 1.

A. Customers taking service under Rate Schedule 1 may be interrupted for up to 30 days during the calendar year and are assessed: 1) a transportation charge of $0.24/dekatherm which is comprised of a "contribution to fix costs" and a "unitized long run marginal costs" component, 2) a Value added charge, or VAC, and 3) a daily balancing service charge. Additionally, customers are subjected to an 50 percent annual minimum bill obligation.

Q. Describe the tariff for rate schedule 2.

A. Service provided under this tariff schedule may be firm or interruptible as agreed upon by the customer and the Company. Customers are assessed a contract rate established in the service agreement negotiated between the Company and the customer.

Q. Is the Commission considering an appropriate structure for these rates in a generic proceeding?

A. Yes. Case 17-G-0011, In the Matter of a Review of Tariff Provisions Regarding Natural Gas Service to Electric Generators, was initiated to

review the appropriateness of the VAC and other aspects of the existing tariffs for interruptible generators. On March 30, 2020, DPS Staff issued a proposal, or Whitepaper, regarding the tariff rates for interruptible generators.

Q. Are the Companies proposing to implement or modify the rates as proposed in that proceeding?

A. No.

Q. What is the current status of the generic proceeding?

A. The case remains pending before the Commission.

Q. What is the Panel's recommendation regarding Transportation rates for Electric Generators?

A. We recommend that the delivery rates for gas generators remain unchanged until a determination is made by the Commission in Case 17-G-0011. In the event the Commission makes a determination in the generic proceeding during the pendency of these proceedings, we will address the rates and tariffs related to the generators accordingly and at the appropriate time.

Merchant Function Charge

Q. Please describe the Merchant Function Charge, or MFC.

A. The MFC is designed to recover costs associated with supply procurement which is comprised of: 1) gas supply procurement expenses, 2) commodity-related credit and collections expenses, 3) commodity-related uncollectible expenses, 4) return requirement on gas storage inventory, and 5) estimated return requirement on gas purchase related working capital.

Q. Did the Companies propose any changes to their MFC targets?

A. Yes. The Companies updated their respective MFC targets. KEDNY updated its MFC to $1,614,328 for Gas Procurement and Commodity-Related Sales Promotion Expenses and to $5,628,653 for Commodity-related Credit and Collection Expenses. KEDLI updated its MFC to $802,770 for Gas Procurement and Commodity-Related Sales Promotion Expenses and to $2,219,966 for Commodity-related Credit and Collection Expenses.

Q. Are the Companies proposing any changes to

commodity-related uncollectible expense, return requirement on gas storage and the return requirement on gas purchase related working capital?

A. No.

Q. Does the Panel agree with these proposed Targets?

A. Yes.

Q. Do the Companies have any additional proposals regarding the MFC?

A. Yes. The Companies propose to convert the MFC annual expense targets from a Rate Year to a GAC Year basis. The Companies propose to reset the Gas Supply Procurement target, Commodity-related Credit and Collection Expenses targets, and Return Requirement on Gas Storage Inventory effective April 1, 2024. Going forward the Company proposes to reset these targets annually every September 1 based on the latest sales forecast and to reconcile the actual revenues to targets, effective the following January of each year. Imbalances associated with the initial five-month period April 2024 through August 2024 will be added to the over or under recoveries

for the period September 1, 2023 through March 31, 2024. The Companies provided an illustrative example set forth on Exhibit___(RDP-6), Schedule 4.

Q. Does the Panel support the change to MFC from a RY target to a GAC year target?

A. Yes.

Revenue Decoupling Mechanism

Q. Please explain the Companies' RDMs.

A. The Companies currently have RDMs that reconcile billed base delivery revenues to base delivery revenue target by class. For KEDNY, SC1A, SC1B, SC2, and SC3 customers and actual revenues are trued up against the revenue per class targets annually. For KEDLI, SC1A, SC1B, SC2, and SC3 customers and actual revenues are trued up against the revenue per class targets annually.

Q. Do the Companies propose to make any changes to their gas RDMs?

A. No, however, the Companies propose to update the annual RDM targets to reflect the proposed delivery rates and billing service fees.

Q. Does the Panel propose to make any changes to the gas RDM for either Company?

A. No, however, we have updated the RDM targets in accordance with the total revenue requirement received from the Staff Revenue Requirements Panel.

Lost and Unaccounted For (LAUF) Gas

Q. What is LAUF gas?

A. LAUF gas refers to the disparity between the amount of gas metered into a local distribution company's, or LDC's, gas system and the amount of gas metered out of the system. LAUF is measured between September 1 and August 31 to reduce the impact of fluctuations that may arise month to month.

Q. What is the LAUF incentive mechanism?

A. The LAUF incentive mechanism holds LDCs accountable for the value of LAUF gas above historical levels, as defined within the LAUF dead bands.

Q. Did the Companies propose changes to their LAUF incentive mechanisms?

A. No.

Q. Describe how the LAUF target and LAUF dead bands are calculated.

A. The LAUF target is calculated using an average

of the most recent five years of loss data. Any years that have negative losses are adjusted to zero, as negative losses are theoretically not possible. The dead band is calculated using the standard deviation of the data used to develop the target. Generally, the upper dead band is the LAUF Target plus 2 times the standard deviation value. The lower dead band is the LAUF Target minus 2 times the standard deviation value. However, if the standard deviation produces a lower dead band that is less than zero, then the lower dead band is set at zero and the upper dead band becomes the LAUF Target plus 4 times the standard deviation value.

Q. Does the Panel propose any changes to the current LAUF incentive mechanism methodology?

A. No.

Q. What timeframe of data do the Companies use to calculate their LAUF factor and dead band limits?

A. The Companies used September 1, 2017, through August 31, 2022, since the data from September 1, 2018, through August 31, 2023, was not available at the time the Companies' initial

testimony was filed.

Q. What timeframe of data would the Panel propose using?

A. The Panel proposes using the same period as the Companies.

Q. Does the Panel have any other recommendations concerning LAUF?

A. No, the Panel does not have any other recommendations concerning LAUF.

Tariff Modifications

Q. Are the Companies proposing any changes to their current Gas Safety and Reliability Surcharge mechanisms?

A. Yes. The Companies proposed to modify their respective existing Gas Safety and Reliability Surcharge, or GSRS, to allow recovery for a leak prone pipe unit cost incentive further discussed in the Companies' respective GIOP testimony.

Q. Does the Panel support the Companies' modification of the GSRS?

A. No, as explained in detail in the Staff Gas Infrastructure and Operations Panel, Staff does not support the Companies' proposed modification of the GSRS.

Q. Do the Companies propose changes to the Non-Firm Demand Response supply cost reconciliation?

A. Yes. In it 2021 Rate Order, the Commission required the Companies to develop and propose a NFDR gas cost reconciliation mechanism to be included in the Companies' next rate filing.

Q. Please explain the current GAC Reconciliation as it applies to NFDR costs.

A. Currently, the annual GAC reconciliation for each Company makes an adjustment to exclude the NFDR revenues from the actual purchase gas expense. The difference between the total adjusted GAC revenue and the total purchased gas expense represents the GAC year over/under collection. The over/under collection is then divided by firm customer annual sales to derive the annual cost of gas imbalance surcharge or refund and shown on the Statement of Monthly Cost of Gas and Adjustments.

Q. Please explain what change the Companies are proposing.

A. The Companies are proposing to include the gas supply costs incurred to serve NFDR sales customers and their revenues excluding penalties

in their respective annual GAC reconciliation. The Companies have a combined Firm and Non-Firm gas supply portfolio between both Companies and cannot separately reconcile NFDR customers gas supply costs, thus, the Companies are proposing to include NFDR revenues in their respective annual GAC reconciliation filing, discontinuing the current process of removing the NFDR revenues from the actual purchase gas expense in their respective annual GAC reconciliation filing. Under the Companies proposal NFDR penalties will be removed from the annual GAC reconciliation filing and separately reconciled to targets established in 2021 Rate Order on an annual basis based on the GAC year.

Q. How do the Companies proposed to reconcile gas supply cost imbalances?

A. The over/under collection from both firm and NFDR sales will be calculated through a volumetric rate included on the Companies' respective GAC statement for firm customers and the NFDR Statement for the NFDR customers. NFDR penalties will be separately reconciled each GAC year and included in the adjustment section of

the Companies' respective GAC statement through a volumetric rate.

Q. Does the Companies' proposal for NFDR reconciliation result in other changes?

A. Yes, the Companies are proposing changes to their respective System Performance Adjustment, or SPA reconciliations based on the proposed NFDR reconciliation proposal. The SPA reconciliation compares actual system LAUF to the LAUF targets established in a rate case proceeding. Currently, the Companies do not recover or refund the SPA surcharge or refund from NFDR sales or transportation customers. The Companies propose to include those customers in the SPA going forward.

Q. Is the Panel aware of any Commission or Staff Guidance regarding the proposed modifications to the LAUF?

A. Yes, in the Staff Whitepaper regarding LAUF states that all firm customers shall be surcharged for additional gas beyond the tariff allowance for losses and refunded for the reduced gas below the tariff allowance when the actual losses are more or less, respectively,

than the tariff allowance. A copy of the Staff Whitepaper regarding LAUF is provided in Exhibit___(SGRP-6).

Q. Is the Companies' proposal in accordance with Staff's Whitepaper on LAUF?

A. No.

Q. How does the Companies' proposal differ from the Whitepaper?

A. As previously mentioned, the Companies propose to include the interruptible NFDR SC in the SPA mechanism while the whitepaper references firm service only.

Q. Why to the Companies propose to apply a SPA surcharge to NFDR customers?

A. The Companies find it inappropriate to assess the GAC to NFDR customers without applying the corresponding SPA surcharge or refund because the LAUF factor impacts the GAC rates.

Q. When would the proposed changes to the GAC reconciliation and NFDR penalties reconciliation mechanisms occur under the Companies' proposal?

A. The proposed changes, if adopted, would be implemented commencing the first full GAC year after rates are approved by the Commission in

this rate proceeding. For example, if new delivery rates became effective on April 1, 2024, the proposed changes to the reconciliation mechanisms would be implemented for the GAC year period September 1, 2024 through August 31, 2025, with the annual cost of gas imbalance surcharge or refund, SPA surcharge or refund and NFDR penalties reconciliation effective January 1, 2026.

Q. Does the Panel support the Companies' proposal for NFDR costs and the corresponding SPA changes?

A. Yes. The Panel supports the Companies' proposal for NFDR costs and the corresponding SPA changes as they comport with requirements for the Companies to develop and propose a non-firm gas cost reconciliation mechanism in the Companies' next base rate filings, as set forth in the Joint Proposal adopted by the Commission on pages 20 and 21 in 2021 Rate Order.

Q. Please explain how the Companies currently reconcile NFDR service revenues.

A. The Companies currently reconcile their respective NFDR delivery service revenues by

comparing to targets set in the previous rate case. Any over or under recoveries are surcharged or credited to all firm customers.

Q. Do the Companies propose any modifications to the NFDR Revenue reconciliation targets?

A. Yes. The Companies propose to update their respective annual NFDR revenue targets to reflect the proposed changes in delivery rates.

Q. Does the Panel support updating the NFDR Revenue reconciliation targets?

A. Yes, however the targets should be updated based on this Panel's revenue target.

Demand Capacity Surcharge

Q. Do the Companies propose any changes to the DCSM Surcharge.

A. Yes, the Companies are proposing to eliminate the multi-component cost recovery DCSM surcharge effective July 1, 2024.

Q. What is the DCSM?

A. The DCSM surcharge was established in the 2019 KEDNY and KEDLI Rate Cases to recover the Demand Response program costs, the incremental New Efficiency New York, or NE:NY, Energy Efficiency program costs capped at the cumulative 2019-2025

budget amounts unless the Commission authorizes additional budgets following the Interim Review in the NE:NY proceeding, and the revenue requirement associated with the Long-Term Capacity Projects excluded from base delivery rates for each Company.

Q. How do the Companies propose to collect the revenues currently being collected through the DSCM?

A. The Companies propose to recover all demand response program costs through their respective Demand Response Operation and Maintenance Cost, or DROM, surcharge and include the revenue requirement associated with the Long-Term Capacity Projects currently collected through the DCSM in base delivery rates. The true-up portion of fiscal year 2024 demand response costs that would have been collected through the DCSM effective July 1, 2024 are proposed to be recovered through their respective DROM effective July 1, 2024 and the incremental energy efficiency program costs deferred through March 31, 2024 would be recovered through their respective RAM effective June 1, 2024. Any over

or under collections of the DCSM deferral balance through June 30, 2024 would remain on the Companies' respective books with carrying charges at the pre-tax WACC for future recovery or refund to customers as determined by the Commission.

Q. Does the Panel support the elimination of the DCSM surcharge?

A. Yes. Our support is further discussed by the Staff Policy Panel and the Staff Efficiency Panel.

Q. Do the Companies propose any changes to the current Late Payment Charges and Other Waived Fees surcharge mechanism?

A. Yes. The Companies propose to modify their respective Late Payment Charges and Other Waived Fees, or LPCO, to eliminate the surcharge effective July 1, 2025. The Companies propose this modification because the final collection period for the deferred unbilled fess, net of savings ends on June 30, 2025. The Companies propose to continue to accrue carrying charges at the pre-tax weighted average cost of capital on any remaining deferral balance as of June 30,

2025. On pages 62 and 63, of the KEDNY Rate Design Panel and KEDLI Rate Design Panel's direct testimony, respectively, the Companies erroneously stated that the LPCO termination on July 1, 2026, however, according to their response to DPS-873 and DPS-874, we confirmed that actual date is July 1, 2025, as stated on page 70 KEDNY's Rate Design Panel's testimony and on page 69 of KEDLI's Rate Design Panel's testimony.

Q. Does the Panel support the Companies proposals regarding the LPCO surcharge mechanism

A. Yes, given that the collection period ends on June 30, 2025, the Panel finds it appropriate to eliminate the surcharge on July 1, 2025.

Q. Do the Companies propose any updates to their respective Area Development Rate / Business Incentive Rate programs?

A. Yes. The Companies are proposing to extend the term of their respective Area Development Rate, or ADR, and Business Incentive Rate, or BIR, programs to the end of the Rate Year.

Q. Does the Panel support the Companies' respective ADR/BIR proposals?

A. Yes.

Q. Does the Company propose to update any of its Tariff fees?

A. Yes. KEDNY proposes to update their unproductive field visit charge, reconnect at the meter charge, and reconnect at the street charge. KEDLI proposes to update their unproductive field visit charge and the reconnect charge fees. The calculations supporting those updates can be found in each Companies' respective Exhibit___(RDP-8).

Q. Does the Panel support the updates to the Companies respective tariff fees?

A. Yes, as the updates were made based on historical costs.

Q. Please explain the Companies current paperless billing credit.

A. The current paperless billing credit is $0.43 for KEDNY and $0.41 for KEDLI per service period for all customers who receive their bill electronically. The credit is based on Historic Test Year costs adjusted for inflation and represents the difference in cost to produce a paper bill versus producing an electronic bill.

The paperless billing credit consists primarily of the cost of paper, postage, and envelopes offset by electronic billing costs.

Q. What changes to the paperless billing credits are the Companies proposing?

A. The Companies are proposing to update their paperless billing credits to $0.48 for KEDNY and $0.51 for KEDLI. The calculations supporting those changes are found in the Companies' respective Exhibit___(RDP-8), Schedule 2.

Q. Does the Panel support the changes to the paperless billing credits?

A. Yes, but the Panel also recommends that the Commission update the credits if there is a material change to the inflation rates.

Q. Are the Companies proposing to change the current consolidated billing charges?

A. Yes, the Companies are proposing to change the consolidated billing charge for KEDNY from $1.31 to $1.22 and for KEDLI from $1.32 to $1.19 per service period. The calculations supporting those charges are found in the Companies' respective Exhibit___(RDP-8), Schedule 3.

Q. Does the Panel support the changes to the

consolidated billing charges?

A. Yes.

Q. Please provide an overview of the Gas Marginal Cost Study

A. The purpose of a Marginal Cost Study, or MCS study is to compute the incremental, or marginal cost to the utility to provide the next unit of service, the next dekatherm, or dth, of design-day demand or the next customer connected. The Marginal Delivery Cost for KEDNY is $1.49 per dth and $0.77 per dth for KEDLI. Customers participating in the Excelsior Jobs Program, or EJP, will pay the marginal delivery cost rate for all gas consumption in excess of the consumption included in the applicable minimum charge. Since NE:NY program costs are in base rates but not in EJP rates, EJP customers will be charged an energy efficiency program rate in addition to the marginal rate to retain accessibility to Company sponsored energy efficiency programs.

Q. Does the Panel support the EJP rates proposed by the Companies?

A. Yes.

Q. Do the Companies propose any additional tariff modifications?

A. Yes, the Companies propose a change to the filling date for the Revenue Tax Surcharge, or RTS, statement.

Q. Please explain the modification to the RTS statement

A. Currently, the Companies' respective tariffs indicate that the RTS is to be filed not less than 15 business days before the effective date. The Companies are proposing to modify the tariff to state that the RTS statement is to be filed not less than 15 days, as opposed to 15 business days, before the effective date. This would make the RTS consistent with other surcharges in the Companies' Tariffs.

Q. Does the Panel support the proposed change to the RTS statement?

A. Yes.

Q. Does the Panel recommend any further tariff modifications?

A. Yes, we recommend the implementation of the RNG Interconnection Surcharge to recover the carrying costs of RNG interconnection capital

projects, as discussed in the Staff's Gas Reliability and Supply Panel, for each Company.

Q. How will the RNG Interconnection Surcharge function?

A. The RNG Interconnection Surcharge will include carrying costs, consisting of the return on and depreciation expense, associated with RNG interconnection capital projects. The amount recovered through the surcharge would be capped at the return of (i.e., depreciation expense) and return on the allowed estimated capital costs of those projects in these proceedings. We propose that the surcharge go into effect July 1, 2025 based on the costs associated from those projects incurred from April 1, 2024 thru March 31, 2025. Any difference in revenue collection should be deferred for future recovery from or refunded to customers. The return of and the return on the allowed capital costs of these projects are recoverable through the surcharge until new rates are set. Illustrative examples of the surcharge for each Company using $1.0 million of revenues to be recovered by the service classes are shown in

Exhibit___(SGRP-7).

Q. What allocators does the Panel recommend using to allocate costs to different SCs to recover the RNG Interconnection Surcharge?

A. The Panel recommends the Company allocate the RNG Interconnection Surcharge on a volumetric basis.

Q. Explain why the Panel recommends using a volumetric basis to allocate the RNG Interconnection Surcharge?

A. The Panel proposes to allocate the RNG Interconnection Surcharge to SCs on a volumetric basis because the introduction of RNG will benefit all customers by providing additional, renewable gas to the system.

Q. Are the Companies proposing to eliminate the Value Added Charge, or VAC, cap?

A. Yes.

Q. Explain why the Companies propose to eliminate the cap.

A. In the Companies Rate Design Panels, the Companies state that eliminating the cap would mitigate any large over or under VAC reconciliation balances.

Q. Explain how the cap works.

A. Each generator is assessed a unique VAC rate based on the spark thread and each generator's heat rate and usage. The VAC rate also accounts for the reconciliation of the prior period VAC. This VAC is capped at a rate such that the sum of a generator's total transportation rate, the VAC rate and daily balancing charge does not exceed the delivery rate of the otherwise applicable transportation service. Any revenue exceeding the cap would be deferred and recovered in the following period.

Q. Does the Panel agree with the Companies to eliminate this cap?

A. No. First, the Commission is evaluating the appropriateness of the VAC in the generic proceeding in Case 17-G-0011. If the VAC is eliminated, the Companies' proposed tariff revision would be unnecessary. Additionally, the existence of the cap ensures the generator's transportation rate remain competitive and discourage customers from migrating to the otherwise applicable transportation service. It is important to ensure the generator rates

remain competitive and customers do not migrate to other SCs, which could potentially cause constraints to the system.

Q. Does the Panel recommend any further tariff revisions?

A. Yes, we recommend the Companies modify their tariffs to include the language related to the frequency of customer bills and usage requirements as described in the Staff Consumer Services Panel's testimony. This language should be added to Leaf 27 of KEDNY's tariff and Leaf 36 of KEDLI's tariff. If the language cannot be added to those respective leaves, new leaves should be created in that section to include the language provided in the Staff Consumer Services Panel's testimony.

Q. Does this conclude the Panel's testimony at this time?

A. Yes, this concludes the Panel's testimony. Thank you.